

COMMITTEE ON EDUCATION
SENATE AMENDMENTS TO S.B. 1507
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 15, chapter 1, article 1, Arizona Revised
3 Statutes, is amended by adding section 15-103.01, to read:

4 15-103.01. Small school districts; receivership;
5 consolidation as a matter of law; new governing
6 board; division of assets and liabilities for
7 previously existing districts; powers and duties
8 of receiver

9 A. NOTWITHSTANDING ANY OTHER LAW, IF THE STATE BOARD OF EDUCATION
10 PLACES A SCHOOL DISTRICT IN RECEIVERSHIP PURSUANT TO SECTION 15-103 [ON OR
11 BEFORE DECEMBER 31, 2025 AND THE SCHOOL DISTRICT IS IN RECEIVERSHIP ON THE
12 EFFECTIVE DATE OF THIS SECTION] AND [IF] THE SCHOOL DISTRICT HAS A STUDENT
13 COUNT OF LESS THAN THREE HUNDRED, THE FOLLOWING SCHOOL DISTRICTS ARE
14 CONSOLIDATED INTO ONE SCHOOL DISTRICT AS A MATTER OF LAW:

15 1. IF THE SCHOOL DISTRICT IN RECEIVERSHIP IS A HIGH SCHOOL DISTRICT
16 OR A UNION HIGH SCHOOL DISTRICT, THE SCHOOL DISTRICT IN RECEIVERSHIP[,]
17 [AND] THE CLOSEST SCHOOL DISTRICT [AND ANY COMMON SCHOOL DISTRICT THAT IS
18 LOCATED WITHIN THE BOUNDARIES OF THE SCHOOL DISTRICT IN RECEIVERSHIP].

19 2. IF THE SCHOOL DISTRICT IN RECEIVERSHIP IS NOT A HIGH SCHOOL
20 DISTRICT OR A UNION HIGH SCHOOL DISTRICT, THE SCHOOL DISTRICT IN
21 RECEIVERSHIP AND THE CLOSEST SCHOOL DISTRICT.

22 B. FOR THE PURPOSES OF SUBSECTION A OF THIS SECTION, THE CLOSEST
23 SCHOOL DISTRICT IS THE SCHOOL DISTRICT THAT BOTH:

24 1. MEETS ONE OF THE FOLLOWING:

25 (a) ADJOINS THE SCHOOL DISTRICT IN RECEIVERSHIP.

26 (b) IF THERE IS NO ADJOINING SCHOOL DISTRICT AND ONLY ONE SCHOOL
27 DISTRICT IS ADJACENT TO THE SCHOOL DISTRICT IN RECEIVERSHIP, THE ADJACENT
28 SCHOOL DISTRICT.

1 (c) IF THERE IS NO ADJOINING SCHOOL DISTRICT AND MORE THAN ONE
2 SCHOOL DISTRICT IS ADJACENT TO THE SCHOOL DISTRICT IN RECEIVERSHIP, THE
3 ADJACENT SCHOOL DISTRICT WITH THE SHORTEST DISTANCE BETWEEN ITS BOUNDARIES
4 AND THE BOUNDARIES OF THE SCHOOL DISTRICT IN RECEIVERSHIP.

5 2. PROVIDES INSTRUCTION TO STUDENTS IN:

6 (a) ELEMENTARY GRADES, IF THE SCHOOL DISTRICT IN RECEIVERSHIP IS A
7 COMMON SCHOOL DISTRICT.

8 (b) SECONDARY GRADES, IF THE SCHOOL DISTRICT IN RECEIVERSHIP IS A
9 HIGH SCHOOL DISTRICT, A UNION HIGH SCHOOL DISTRICT OR A UNIFIED SCHOOL
10 DISTRICT.

11 C. THE TERMS OF THE GOVERNING BOARD MEMBERS OF THE PREVIOUSLY
12 EXISTING SCHOOL DISTRICTS DO NOT EXPIRE ON THE EFFECTIVE DATE OF THE
13 CONSOLIDATION AND CONTINUE UNTIL JANUARY 1 FOLLOWING THE NEXT GENERAL
14 ELECTION, DURING WHICH TIME THE MEMBERS OF THE GOVERNING BOARDS OF THE
15 PREVIOUSLY EXISTING SCHOOL DISTRICTS SHALL SERVE AS THE GOVERNING BOARD OF
16 THE NEW SCHOOL DISTRICT. AT THE NEXT GENERAL ELECTION HELD FOLLOWING THE
17 CONSOLIDATION AND THEREAFTER, FIVE MEMBERS SHALL BE ELECTED AS PRESCRIBED
18 BY SECTION 15-427, SUBSECTION B. THE NEW BOARD SHALL TAKE OFFICE ON
19 JANUARY 1 FOLLOWING THE GENERAL ELECTION.

20 [D. THE GOVERNING BOARD OF EACH PREVIOUSLY EXISTING SCHOOL DISTRICT
21 SHALL PREPARE A LIST OF ASSETS FOR THE PREVIOUSLY EXISTING SCHOOL DISTRICT
22 BEFORE THE END OF THE FISCAL YEAR IN WHICH THE CONSOLIDATION OCCURS. THE
23 GOVERNING BOARD OF EACH PREVIOUSLY EXISTING SCHOOL DISTRICT SHALL SET
24 ASIDE SUFFICIENT ASSETS OR PROVIDE OTHER MEANS TO SATISFY THE LIABILITIES
25 OF THE PREVIOUSLY EXISTING SCHOOL DISTRICT, AND THE NEW GOVERNING BOARD
26 SHALL APPROVE THE FINAL DIVISION OF ALL ASSETS NOT LATER THAN THIRTY DAYS
27 AFTER THE LISTS OF ASSETS ARE PREPARED PURSUANT TO THIS SUBSECTION. THE
28 AREA WITHIN THE GEOGRAPHIC BOUNDARIES OF EACH PREVIOUSLY EXISTING SCHOOL
29 DISTRICT REMAINS SUBJECT TO PROPERTY TAXES LEVIED FOR BONDS ISSUED BY THE
30 SCHOOL DISTRICT AND ANY OTHER OUTSTANDING DEBT THAT WAS LAWFULLY INCURRED
31 BEFORE THE CONSOLIDATION AND THAT IS NOT OTHERWISE SATISFIED PURSUANT TO
32 THIS SUBSECTION.]

33 ~~[D.]~~ [E.] NOTWITHSTANDING SECTION 15-103, THE RECEIVER WHO IS
34 APPOINTED BY THE STATE BOARD OF EDUCATION:

35 1. DOES NOT HAVE THE POWERS PRESCRIBED IN SECTION 15-103,
36 SUBSECTION F.

37 2. SHALL SUBMIT TO THE GOVERNING BOARD OF THE NEW SCHOOL DISTRICT A
38 COPY OF THE REPORT, FINANCIAL IMPROVEMENT PLAN AND BUDGET THAT THE
39 RECEIVER SUBMITS TO THE STATE BOARD OF EDUCATION PURSUANT TO SECTION
40 15-103.

41 3. SHALL ADVISE THE GOVERNING BOARD OF THE NEW SCHOOL DISTRICT HOW
42 THE SCHOOL DISTRICT MAY ELIMINATE ANY CONTINUED GROSS FINANCIAL
43 MISMANAGEMENT AND ACHIEVE FINANCIAL SOLVENCY.

44 4. MAY RECOMMEND THAT THE GOVERNING BOARD OF THE NEW SCHOOL
45 DISTRICT TAKE ANY OF THE ACTIONS LISTED IN SECTION 15-103, SUBSECTION F.

1 ~~[F.]~~ [E.] NOTWITHSTANDING SECTION 15-103, SUBSECTION J, THE STATE
2 BOARD OF EDUCATION SHALL DISMISS THE RECEIVER THIRTY DAYS AFTER ALL OF THE
3 FOLLOWING OCCUR:

4 1. THE AUDITOR GENERAL CERTIFIES THAT THE SCHOOL DISTRICT HAS BEEN
5 FINANCIALLY SOLVENT FOR ONE FISCAL YEAR.

6 2. THE AUDITOR GENERAL CERTIFIES THAT THE SCHOOL DISTRICT'S
7 FINANCIAL RECORDS ARE IN COMPLIANCE WITH THE UNIFORM SYSTEM OF FINANCIAL
8 RECORDS AND GENERALLY ACCEPTED ACCOUNTING PRINCIPLES.

9 3. THE RECEIVER CERTIFIES THAT THE NEW SCHOOL DISTRICT IS NOT
10 ENGAGED IN GROSS MISMANAGEMENT.

11 4. THE STATE BOARD OF EDUCATION DETERMINES THAT THE NEW SCHOOL
12 DISTRICT IS ABLE TO PAY ITS DEBTS AS THOSE DEBTS BECOME DUE.

13 5. THE NEW SCHOOL DISTRICT GOVERNING BOARD NOTIFIES THAT STATE
14 BOARD OF EDUCATION THAT THE ADVICE AND PROFESSIONAL SERVICES OF THE
15 RECEIVER ARE NO LONGER NECESSARY.

16 <<Sec. 2. Section 15-397, Arizona Revised Statutes, is amended to
17 read:

18 15-397. Effect of unification or consolidation of
19 participating school districts

20 Notwithstanding sections 15-395 and 15-395.01, if a school district
21 ~~[that]~~ was participating in a career technical education district at the
22 time that the school district was unified or consolidated pursuant to
23 chapter 4, article 3 of this title [OR CONSOLIDATED PURSUANT TO SECTION
24 15-103.01], the successor school district that results from that
25 unification or consolidation shall automatically continue to participate
26 in that career technical education district in the same manner as the
27 former school district that was unified or consolidated.>>

28 <<Sec. 3. Consolidation of districts; petitions; election;
29 delayed repeal

30 [A. Notwithstanding section 15-459, subsection A, Arizona Revised
31 Statutes, on receipt of petitions bearing the signatures of two percent or
32 more of the number of qualified electors who voted in whichever of the
33 last two general elections resulted in the higher number of ballots cast
34 and who reside in each of two or more school districts in the same county
35 or in adjacent counties to consolidate the school districts or parts of
36 the districts, the county school superintendent of each county affected,
37 within ten days, shall call an election to determine the question on
38 consolidation if both:

39 1. The combined student count of the school districts or parts of
40 the districts is at least eight thousand but less than eight thousand four
41 hundred.

42 2. The county school superintendent of each county affected
43 received the petition on or before December 31, 2028.

44 B. Except as provided in subsection A of this section, an election
45 called pursuant to this section, and a consolidation allowed by this
46 section, are subject to section 15-459, Arizona Revised Statutes.

47 C. This section is repealed from and after June 30, 2029.]>>

Senate Amendments to S.B. 1507

1 <<Sec. 4. Delayed repeal
2 [Section 15-103.01, Arizona Revised Statutes, as added by this act,
3 is repealed from and after December 31, 2029.]>>

4 Enroll and engross to conform

5 Amend title to conform

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